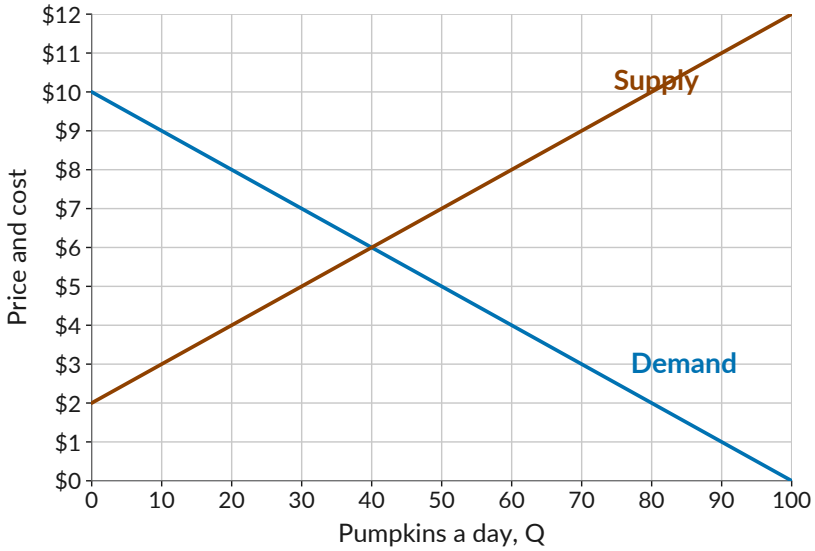
Worksheet: Shifts in Supply and Demand

ECON 201

Pumpkins at the fall market

Many farm stands at the fall market sell the same pumpkins. The graph shows the demand and supply curves.



1. What are the equilibrium price and quantity? Mark the point on the graph.

2. Halloween week arrives. At every price, shoppers now want 20 more pumpkins than before. Draw the new demand curve. At the old price, how many pumpkins are wanted and how many are offered? Is there excess demand or excess supply, and how much?

3. Find the new equilibrium price and quantity. Did the supply curve shift? What happened to the quantity supplied?

4. Now start again from the original curves. A bumper harvest means that at every price, stands offer 20 more pumpkins than before. Draw the new supply curve. At the old price, how many are offered and how many are wanted?

5. Find the new equilibrium price and quantity. Did the demand curve shift? What happened to the quantity demanded?